

SYNOPSYS INC / ANSYS, Inc.

M&A Committee Memo · SNPS acquires ANSS · Educational reconstruction · August 08, 2026

Cash & Stock Merger

Headline terms

Cash per share	\$197.00
Stock per share (value)	\$193.19
Total per share	\$390.19
Implied premium	28.7%
Equity purchase price	\$34 bn

Educational reconstruction from public SEC filings. Not investment advice. Synergy figures are labeled assumptions (management's disclosed estimate and our own conservative case), not forecasts. This memo passes no verdict on whether the transaction should occur and implies no endorsement by the SEC, the named companies, or their financial advisors.

Data source: SEC EDGAR (public domain). Analyst: William Mar (independent educational project). USD in millions unless noted.

1. Deal Overview & Timeline

On January 16, 2024, Synopsys (NASDAQ: SNPS) agreed to acquire ANSYS (NASDAQ: ANSS) in a cash-and-stock transaction. Per the merger agreement disclosed in ANSYS's definitive proxy (DEFM14A, SEC accession 0001140361-24-020334), each ANSYS share converts into \$197.00 in cash plus 0.3450 of a Synopsys share. On the December 21, 2023 unaffected date the mix implied roughly \$390.19 per ANSYS share — about a 28.7% premium to ANSYS's unaffected close and an aggregate equity purchase price near \$34 billion. The transaction closed on July 17, 2025 after regulatory clearances; ANSYS deregistered (Form 15-12G) shortly after. This memo reconstructs the economics of that transaction from the public filings and is an educational exercise, not investment advice.

Consideration & deal terms

Per-share consideration	Value
Cash per share	\$197.00
Exchange ratio (acquirer shares / target share)	0.3450
Stock leg value per share	\$193.19
Total implied per share	\$390.19
Implied premium (unaffected)	28.7%
Target shares outstanding	87.3M
New acquirer shares issued	30.1M
Aggregate cash	\$17,198 mm
Aggregate stock value	\$16,865 mm
Equity purchase price	\$34,063 mm

Disclosed terms are sourced to the merger proxy / deal 8-Ks (accession + section stamped in DealTerms); aggregate figures are the engine's gross-up. USD in millions unless per-share.

2. Strategic Rationale

As disclosed in the proxy and joint communications, the strategic logic is a 'silicon-to-systems' design stack: Synopsys's electronic design automation (chip design) combined with ANSYS's multiphysics simulation (how those chips and the systems around them behave thermally, mechanically, electromagnetically). Our commentary (our view, not a disclosed fact): the two product lines are complementary rather than overlapping, which is why the deal reads as a capability acquisition — buying a simulation franchise that would be slow and risky to build — far more than a cost-synergy story. That framing matters for the accretion analysis below: the price is underwritten by strategic value and revenue opportunity, not by near-term earnings arithmetic.

Contribution vs. pro forma ownership

Contribution (USD mm)	SNPS	ANSS
Revenue	6,801	2,774
EBITDA	2,517	985
Net income	2,008	714
Pro forma ownership	83.8%	16.2%

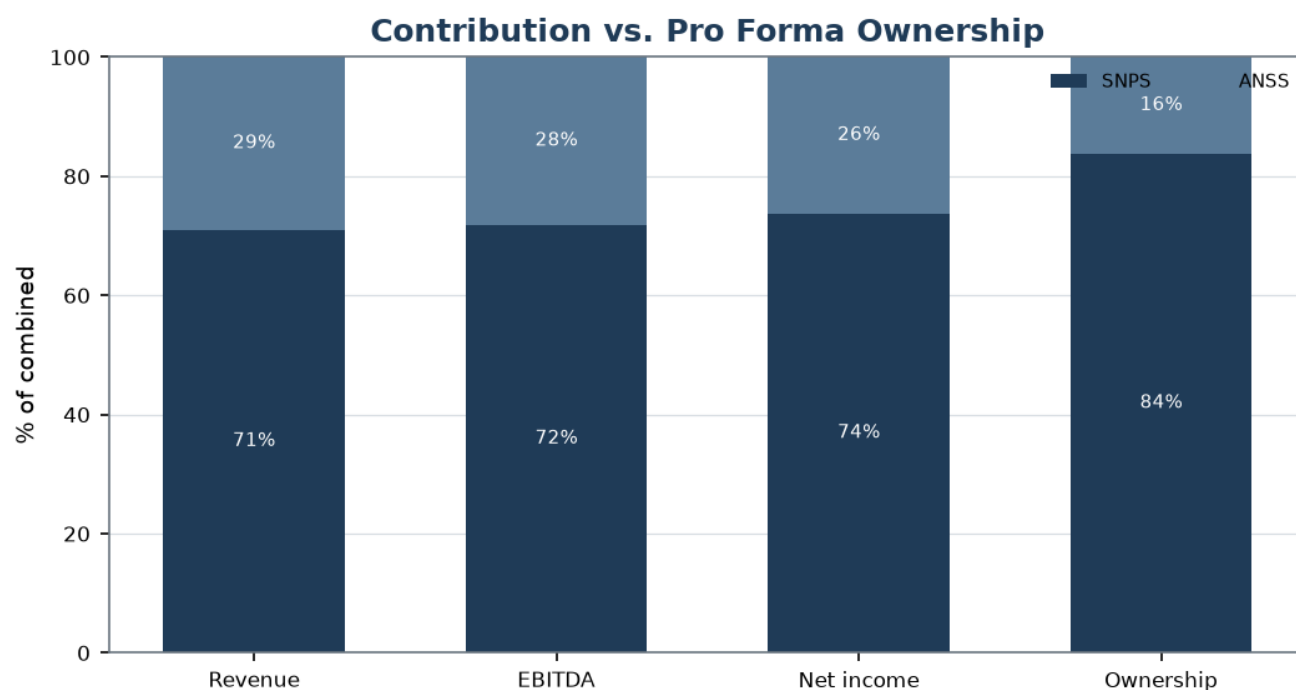


Figure 1. Each party's contribution to combined revenue, EBITDA and net income versus its pro forma ownership of the combined entity. Source: combination engine (primary synergy case).

3. Target Valuation

We value ANSYS on a standalone basis three ways and frame each against the ~\$390.19 offered consideration. Our own discounted-cash-flow model (our assumptions: ~9.4% WACC — ANSYS is roughly net cash, so the rate is essentially its cost of equity — 3.0% terminal growth, and a 22x exit EBITDA cross-check) implies a standalone value well below the offer. That gap is the point, not a flaw: it quantifies how much of the price is premium for control, synergies, and strategic fit rather than ANSYS's standalone cash flows. Trading and precedent multiples — here we reuse the multiple ranges Qatalyst itself disclosed, applied to ANSYS's metrics — bracket a higher range that overlaps the offer, consistent with software assets changing hands at premium multiples. The triangulation exhibit shows all three against the offer.

Standalone DCF vs. offer

Our standalone ANSYS DCF	Value
WACC	9.4%
Enterprise value (Gordon)	\$11,553 mm
Net debt (negative = net cash)	\$-743 mm
Equity value (Gordon)	\$12,296 mm
Implied price — Gordon	\$139.90
Implied price — exit multiple	\$263.63
Offered consideration / share	\$390.19

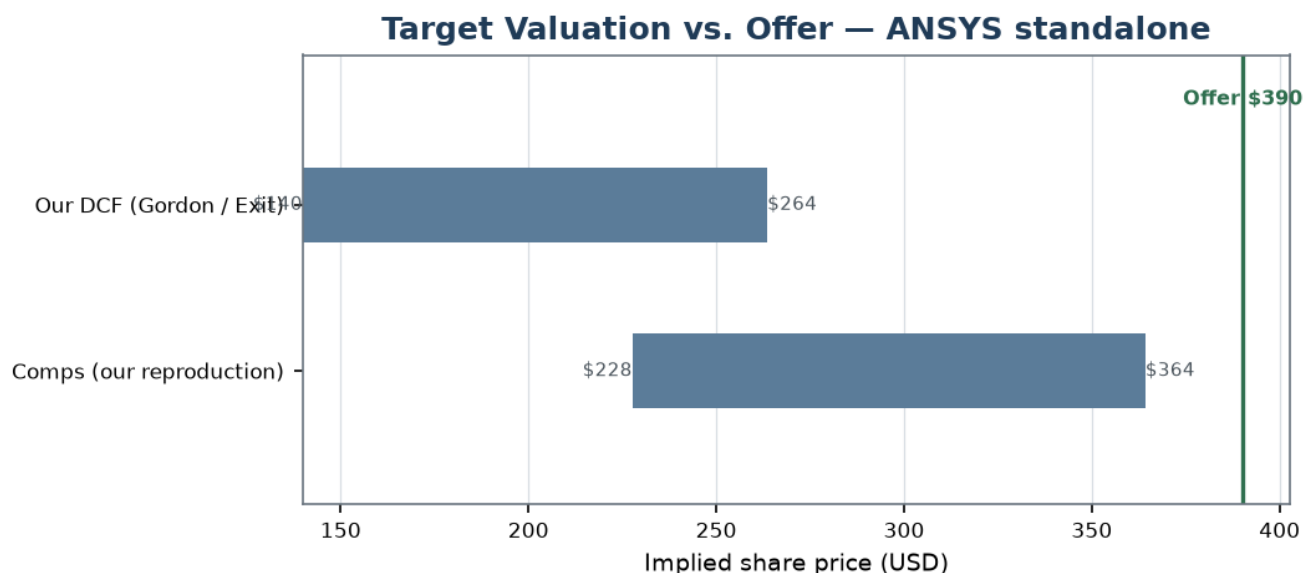


Figure 2. Standalone valuation ranges (our DCF; comps reproduced from the advisor's disclosed multiples) framed against the offered per-share consideration. The gap to the offer quantifies the control / synergy / strategic premium. Source: valuation engine.

Precedent transactions

Transaction	Date	EV (\$bn)	EV/Rev	EV/EBITDA
Broadcom / VMware	2023-11-22	69.0	7.4x	20.6x
Adobe / Figma	2022-09-15	20.0	50.0x	—
Elon Musk / investors / Twitter	2022-10-27	44.0	7.3x	—
Microsoft / Activision Blizzard	2022-01-18	68.7	7.9x	18.9x
Qualtrics / Silver Lake/CPPIB	2023-04-27	12.5	7.0x	—
Thoma Bravo / Proofpoint	2021-04-15	12.3	10.9x	—
Salesforce / Slack	2020-12-01	27.7	26.0x	—
Google / Mandiant	2022-03-08	5.4	9.0x	—
Microsoft / LinkedIn	2016-06-13	26.2	7.2x	24.0x

Sources (curated, cited):

- Broadcom / VMware: Broadcom/VMware DEFM14A & press release, announced 2022-05-26, closed 2023-11-22; EV ~\$69B incl. debt
- Adobe / Figma: Adobe/Figma press release 2022-09-15 (deal later terminated 2023-12); ~\$20B, ~50x ARR
- Elon Musk / investors / Twitter: Twitter merger proxy 2022; \$54.20/share, ~\$44B EV
- Microsoft / Activision Blizzard: Microsoft/Activision DEFM14A, \$95.00/share, ~\$68.7B EV, closed 2023-10
- Qualtrics / Silver Lake/CPPIB: Qualtrics take-private DEFM14A 2023; \$18.15/share, ~\$12.5B EV
- Thoma Bravo / Proofpoint: Proofpoint DEFM14A 2021; \$176.00/share, ~\$12.3B EV
- Salesforce / Slack: Salesforce/Slack S-4 2020-2021; ~\$27.7B, ~26x revenue
- Google / Mandiant: Google/Mandiant press release 2022-03-08; \$23.00/share, ~\$5.4B
- Microsoft / LinkedIn: Microsoft/LinkedIn merger proxy 2016; \$196.00/share, ~\$26.2B EV (Qatalyst advised LinkedIn)

Curated, cited precedent set (premiums-paid / multiple context). EV in \$bn.

4. Structure & Financing

The cash leg (~\$17B of the ~\$34B) was funded, per Synopsys's disclosures (SEC accession 0001140361-25-026140), with \$10.0 billion of senior notes issued in March 2025 and a \$4.3 billion term loan drawn at closing, plus cash on hand; a bridge facility was arranged and then terminated once the permanent financing was in place. Our model uses ~\$14.3B of new debt and roughly \$3.0B of balance-sheet cash so that sources equal uses exactly. The blended cost of the new debt (~5.0%) is our assumption — the individual tranche coupons are not in the cached filings — chosen as a defensible investment-grade-technology cost across the notes and the SOFR-based term loan. The sources & uses exhibit ties to the cent.

Sources & uses of funds

Sources (USD mm)		Uses (USD mm)	
New Debt	14,300	Equity Purchase Price	34,063
Cash On Hand	3,048	Refinance Target Debt	0
Stock Issued	16,865	Advisory Fees	100
Additional Cash	0	Financing Fees	50
Total sources	34,213	Total uses	34,213

Sources = uses (ties). Debt structure is disclosed; the blended cost of new debt and the cash-on-hand split are our assumptions (docs/ASSUMPTIONS.md). USD in millions.

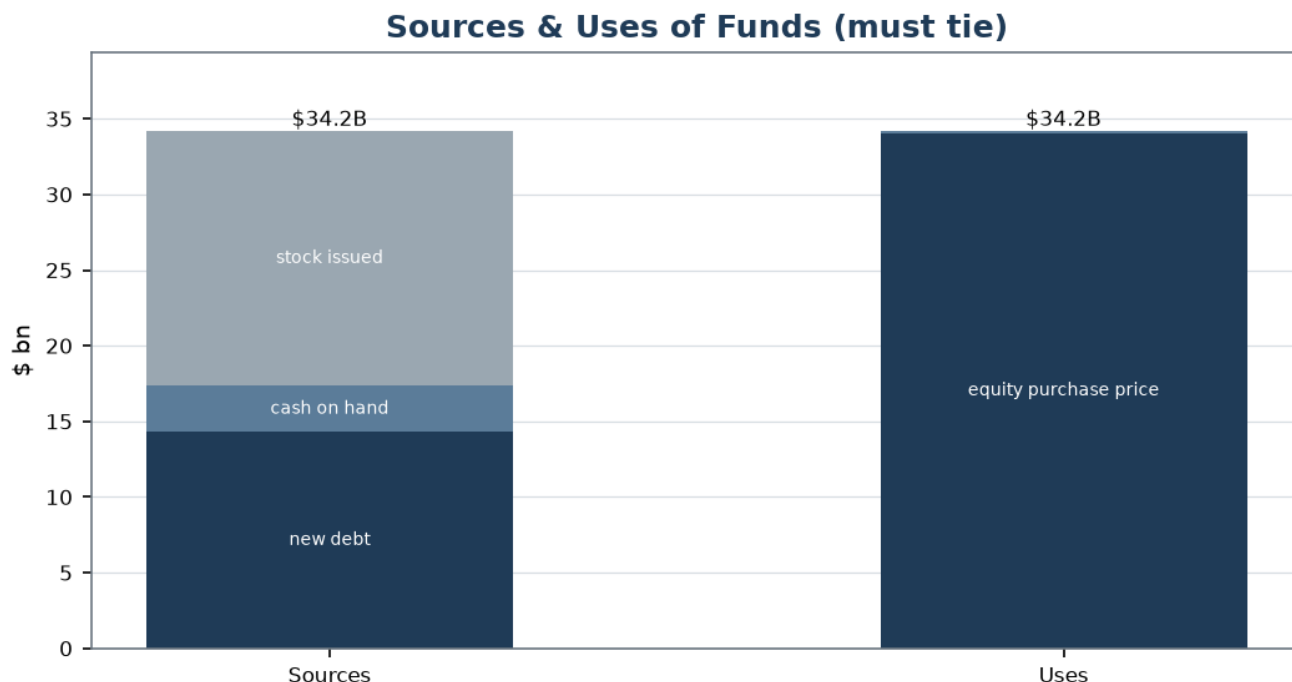


Figure 3. Funding mix — the two columns reach the same height (sources = uses). Source: deal engine.

5. Purchase Price Accounting

Purchase accounting rewrites the target's balance sheet at fair value. We write off ANSYS's existing goodwill, step up identifiable intangibles by \$8.0 billion (our assumption; 10-year life) — deliberately conservative versus the ~\$12.5 billion Synopsys actually recorded — and book the deferred-tax liability that the step-up creates at the 21% statutory rate. Goodwill is the plug that makes the entry balance: equity purchase price less the fair value of net identifiable assets, landing near \$22.6 billion (versus ~\$26.9 billion actually reported — a smaller step-up leaves more in goodwill; the two move together). The consequence that drives the next section: the \$8.0B step-up amortizes at roughly \$0.8 billion per year, a real, non-cash charge to pro forma GAAP earnings.

Equity purchase price → goodwill walk

Purchase price allocation (USD mm)	
Equity purchase price	34,063
Target book equity	8,919
Less: target existing goodwill (written off)	3,778
Identifiable net assets at book	5,141
Plus: intangible step-up	8,000
Plus: PP&E step-up	0
Less: deferred-tax liability on step-ups	1,680
Net identifiable assets acquired	11,461
Goodwill (plug)	22,603
Incremental annual D&A from step-ups	800

Goodwill is the plug: equity purchase price less the fair value of net identifiable assets (book net assets + step-ups – DTL). Step-up sizing, useful life and DTL rate are our assumptions. USD in millions.

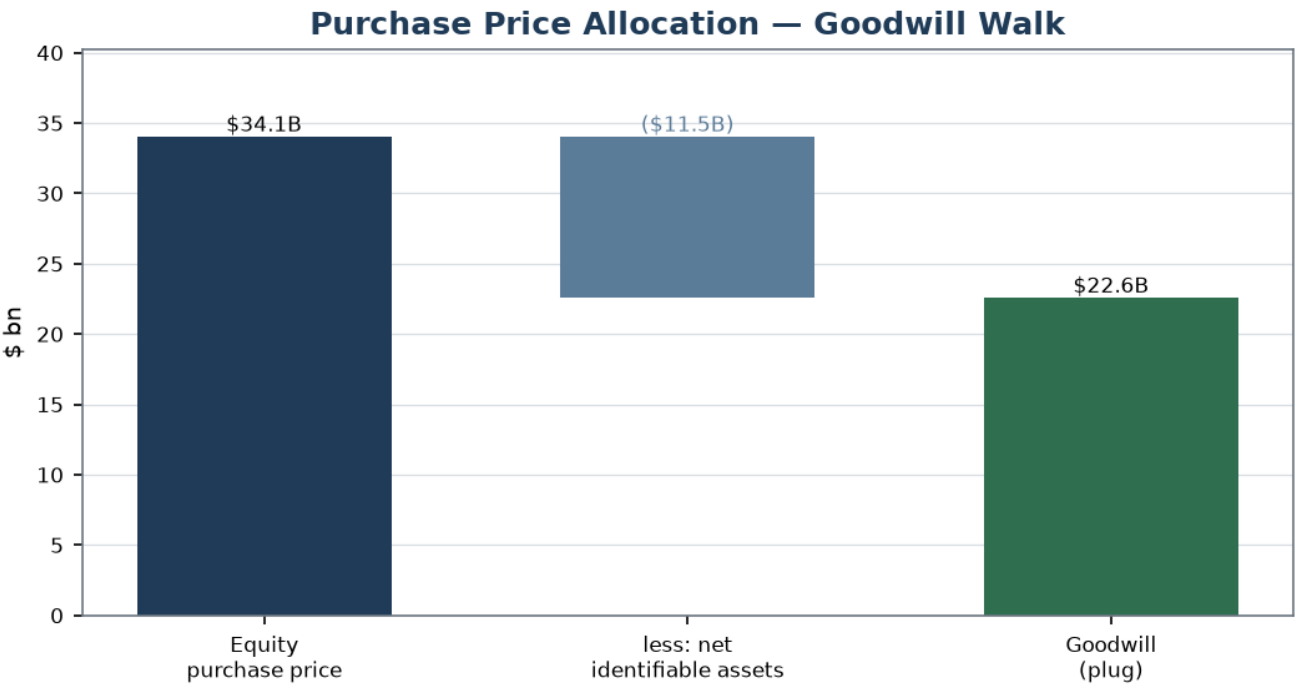


Figure 4. Goodwill waterfall from equity purchase price through net identifiable assets to the residual goodwill. Source: deal engine.

6. Accretion / Dilution Analysis

On a GAAP basis the deal is dilutive to Synopsys EPS throughout the horizon — roughly –38% in Year 1 improving to about –21% by Year 5 in our base synergy case (worse in the conservative case). Three forces drive it: ~\$0.8B/yr of step-up amortization, after-tax interest on the new debt, and the ~30.1 million new Synopsys shares issued. Why Year-1 dilution is not automatically a 'bad deal': first, the single largest driver — step-up amortization — is a non-cash accounting charge, so on a cash-EPS (ex-amortization) basis the picture is materially less dilutive and is exactly how management and the Street judge software deals; second, dilution narrows every year as the target grows and synergies phase in; and third, a capability acquisition is underwritten by multi-year revenue and strategic value, not Year-1 EPS. The EPS-bridge and sensitivity exhibits decompose the walk and show how it moves with premium and synergies.

EPS bridge — primary case

EPS bridge — Base (ours) (USD mm)	FY25	FY26	FY27	FY28	FY29
Acquirer standalone net income	2,008	2,249	2,516	2,788	3,086
Target standalone net income	714	777	839	899	962
Less: incremental interest (after-tax)	601	601	601	601	601
Less: foregone cash interest (after-tax)	102	102	102	102	102
Less: step-up D&A (after-tax)	672	672	672	672	672
Plus: synergies (after-tax)	126	189	252	252	252
Pro forma net income	1,472	1,840	2,233	2,564	2,925
Acquirer standalone shares	155.9M	155.9M	155.9M	155.9M	155.9M
New shares issued	30.1M	30.1M	30.1M	30.1M	30.1M
Pro forma diluted shares	186.1M	186.1M	186.1M	186.1M	186.1M
Acquirer standalone EPS	\$12.87	\$14.42	\$16.14	\$17.88	\$19.79
Pro forma EPS	\$7.91	\$9.89	\$12.00	\$13.78	\$15.72
Accretion / (dilution)	-38.5%	-31.4%	-25.6%	-22.9%	-20.6%

Accretion / (dilution) — both synergy cases

Accretion / (dilution) by year	FY25	FY26	FY27	FY28	FY29
Base (ours)	-38.5%	-31.4%	-25.6%	-22.9%	-20.6%
Conservative (ours)	-42.1%	-35.3%	-29.8%	-26.7%	-24.0%

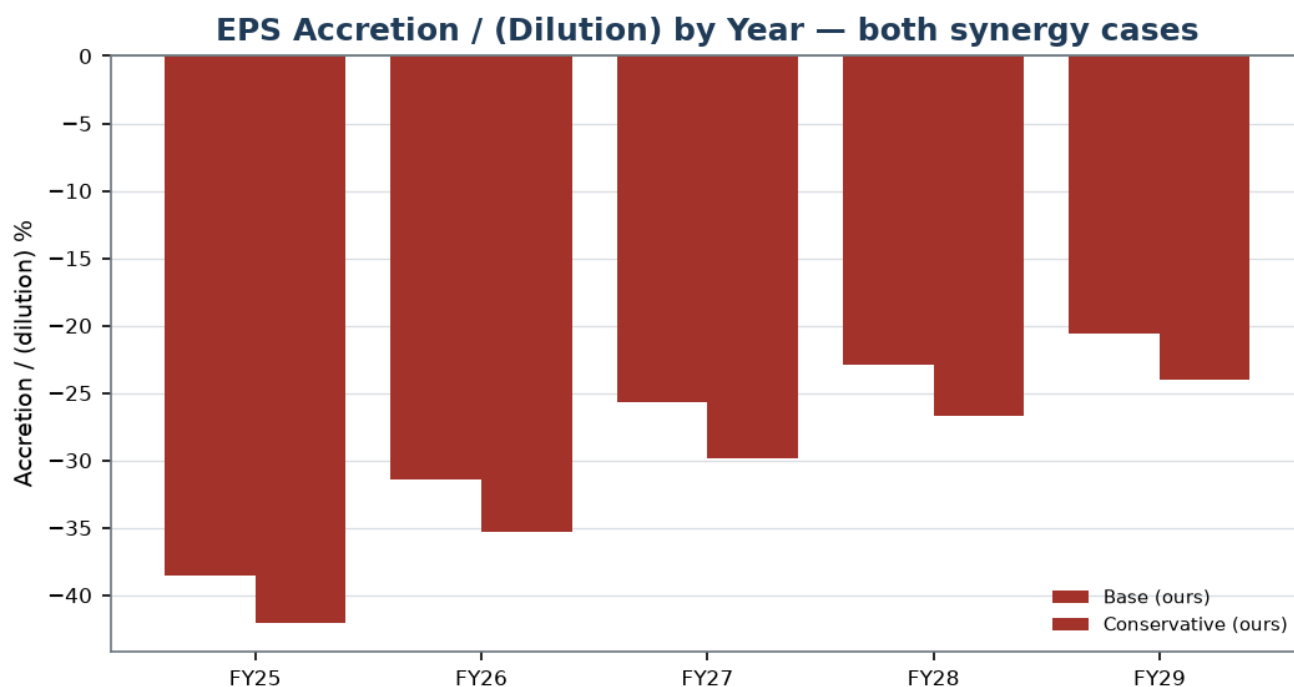


Figure 5. EPS accretion/(dilution) by year for both synergy cases; dilution narrows as the target grows and synergies phase in. Source: combination engine.

Sensitivity — premium × synergies

Year-1 A/(D): premium \ synergies	\$0 bn	\$2 bn	\$4 bn	\$6 bn	\$8 bn
10.0%	-35.1%	35.0%	105.1%	175.3%	245.4%
20.0%	-39.8%	30.4%	100.5%	170.6%	240.8%
30.0%	-44.4%	25.7%	95.9%	166.0%	236.1%
40.0%	-49.0%	21.1%	91.2%	161.4%	231.5%
50.0%	-53.7%	16.5%	86.6%	156.7%	226.8%

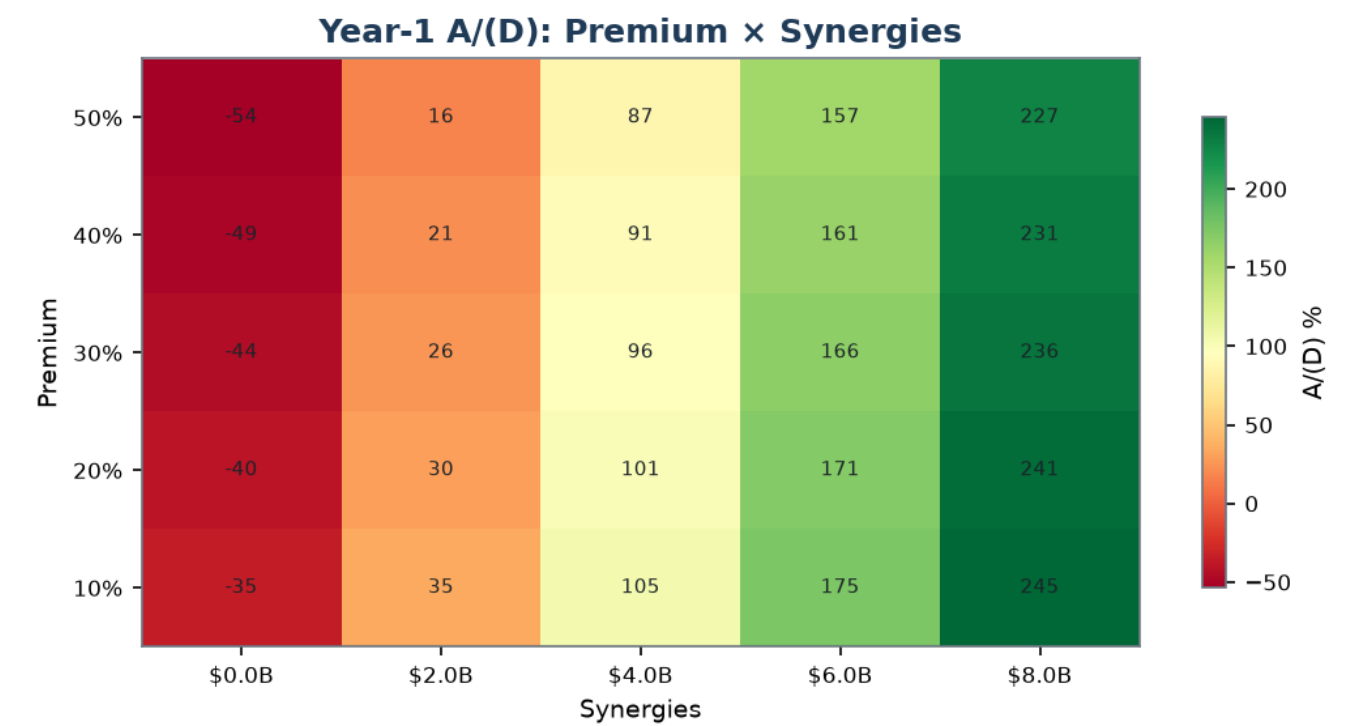


Figure 6. Year-1 accretion/(dilution) across premium and annual synergy run-rate — greener is more accretive. Source: scenarios engine.

7. Synergies

The proxy discusses synergies only qualitatively and discloses no quantified run-rate, so — unlike some deals — there is no management figure to quote. Both cases here are therefore explicitly our assumptions, sized against ANSYS's ~\$1.5B operating-cost base: a conservative \$150M annual run-rate and a base \$300M run-rate, each phased in over three years. The useful framing is breakeven: Year-1 EPS accretion would require on the order of \$1.25 billion of annual synergies — far above either case and well beyond what cost synergies alone plausibly deliver. Read correctly, that says the deal does not pay for itself on near-term cost savings; it is a revenue-and-strategy bet, which is consistent with how the parties described it.

Synergy cases & breakeven

Synergy case	Basis	Run-rate (USD mm)	Year-1 realized after-tax (USD mm)
Base (ours)	our assumption	300	126
Conservative (ours)	our assumption	150	42
Breakeven synergies (Year-1 A/D = 0)	our framing	1,249	—

Both synergy cases are labeled assumptions (ours), phased in over the ramp; the proxy discloses no quantified run-rate. Breakeven synergies are the annual run-rate that would zero out Year-1 EPS dilution. USD in millions.

8. Risks

- Regulatory: a large software-tooling combination drew antitrust review in multiple jurisdictions; the deal ultimately closed with remedies, but cross-border merger review is a genuine timeline and deal-certainty risk.
- Integration: capability acquisitions live or die on integration — combining go-to-market motions and product roadmaps across EDA and simulation without disrupting either franchise.
- Financing: ~\$14.3B of new debt raises leverage and interest expense; a higher-for-longer rate path makes the debt-funded portion more dilutive (quantified in the sensitivity grid).
- Market & execution: the standalone valuation gap means the premium is underwritten by synergies and growth that must actually materialize; if they don't, the economic return compresses even though the strategic logic holds.
- These are our risk read, not a prediction, and the memo passes no verdict on whether the deal should have occurred.

9. Fairness-Opinion Comparison (Appendix)

The strongest validation of the mechanics is external: we take the assumptions ANSYS's financial advisor, Qatalyst Partners, disclosed in the proxy — their discount-rate band, their multiple ranges, their management-case cash-flow stream — and run them through our own engine to see whether we reproduce the implied per-share ranges they published. We do, with a mean overlap of about 67%: the multiple-based methods overlap roughly 77–79%, and the DCF overlaps about 46%. The DCF gap is explained, not tuned away: the proxy tabulates only the first of three management cases, so our single-case DCF range is narrower and sits in the upper part of Qatalyst's union-of-three-cases band. Reproducing a banker's disclosed valuation from their own inputs — and explaining where and why it differs — is what a fairness opinion can and cannot tell you, made concrete.

Disclosed vs. reproduced implied ranges

Methodology	Disclosed implied range	Our reproduction	Overlap
Qatalyst Partners — Discounted Cash Flow	\$160.25 – \$496.04	\$342.44 – \$555.02	45.7%
Qatalyst Partners — Selected Companies	\$198.32 – \$340.71	\$227.66 – \$364.26	79.4%
Qatalyst Partners — Selected Transactions	\$199.97 – \$319.88	\$227.66 – \$364.26	76.9%

Mean overlap across methodologies: 67.3%. Deviations are explained in the prose above, never tuned away.

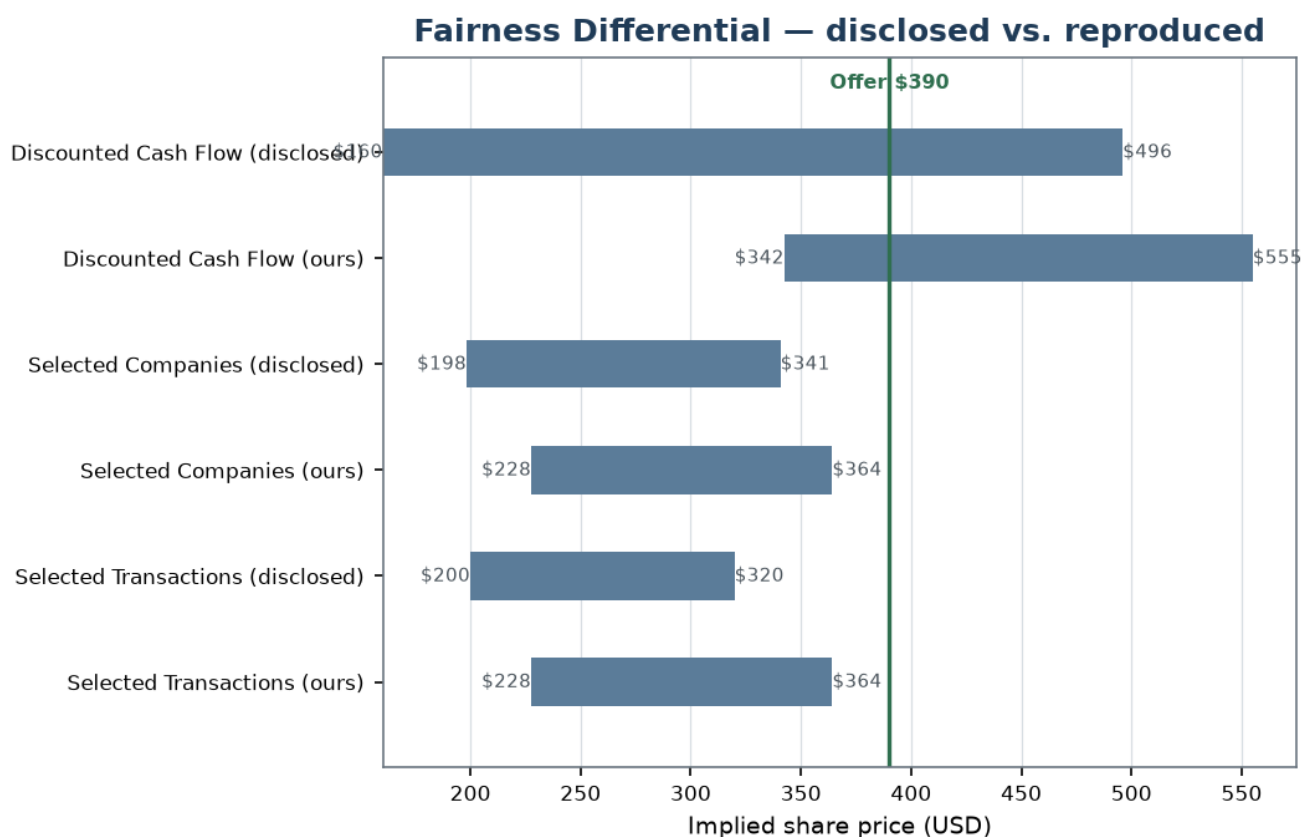


Figure 7. Per-methodology disclosed implied ranges vs. our reproduction from the advisor's own disclosed assumptions, against the offer. Overlap is quantified; deviations are explained, never tuned away. Source: fairness differential engine.

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